WORRYING SIGNALS

The economy continues to be a concern for the Modi government. Fewer jobs, lower incomes and high prices have taken the sheen off what has been a striking growth rate

By M.G. ARUN

The 2024 general election saw economic issues—the dearth of jobs, high prices of goods and services, and the widening gap between the rich and the poor—take centre stage, significantly influencing the outcome. The widespread concerns among voters across states on these issues cost the ruling Bharatiya Janata Party (BJP) dear, with its seat tally in the Lok Sabha falling to 240, significantly lower than the party's '370-plus' expectations.

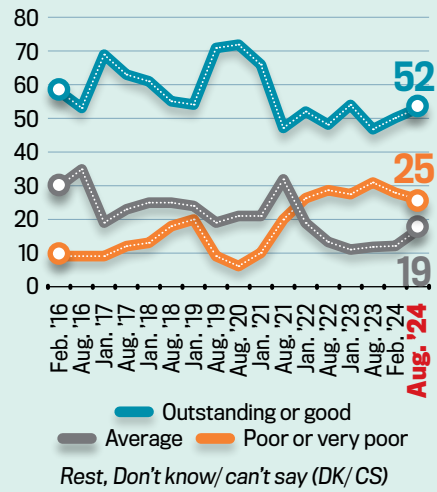
It, therefore, comes as no surprise that only 20 per cent of the respondents in the current India Today Mood of the Nation (MOTN) poll rate the NDA government's handling of the economy 'outstanding'. This is a significant drop from the February poll, when 32.4 per cent felt the same. Moreover, 27 per cent of the respondents with a higher education give the government's economic performance a very poor rating.

GROWTH PANGS

Ironically, public perception about the Narendra Modi government's economic management has shifted, even as the country's economy cruised at a strikingly high growth rate of 8.2 per cent in FY24. Not only has the economy recovered from the Covid-19 pandemic, a sustained government investment in capital expenditure and a booming retail sector promise to maintain the growth rate at around 7 per cent for this fiscal and the next. But these are headline numbers and contrast sharply with on-ground sentiments. In the MOTN poll, those who believe that the economy will remain stagnant or things will worsen together form a substantial 50.6 per cent. Their pessimism is not unfounded, given the global challenges such as two ongoing wars and the slowing economies in the developed world, which could make sustaining high growth difficult.

Only 38 per cent are certain that the economy will improve in the next

Q. How would you rate the NDA government's handling of the economy?

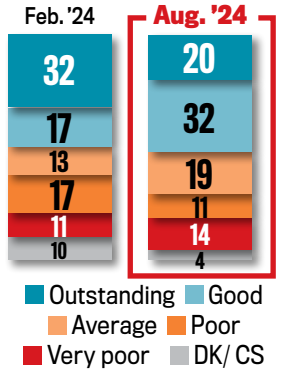


Rest, Don't know/ can't say (DK/ CS)

Over half of the respondents approve of Modi's economic management

No more outstanding

Only 20 per cent of the respondents rate the NDA government's handling of the economy outstanding, from 32 per cent in February



All figures in % and rounded off